EF Coach & Tutors Financial Analysis

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Last Updated: July 9th, 2024 (Update in Progress)

What are we talking about?

Objectives

Understanding Current + Projected Revenues, Expenses and Profit

What number of students do we get to achieve goals:

- Reach 12k monthly profit
- Allocate 5% of profit for a scholarship

What outcome we may have if we change:

- Trial length
- Tutor pay rate

The Data and The Story

Estimated Current Profit

$2,754

Per Month

- All estimates is for a month in an academic school year and does not take referrals into account.
- Not the average monthly profit for 2023-2024 school year

$154

Per Converted + Trial Student

- 13 converted students
- 4.8 avg monthly trial students
- 41.18% conversion rate
- 5 tutors

Terms & Calculations

Monthly Profit =
Base Revenue + Conversion Revenue
- Base Expenses - Conversion Expenses - OPEX - Internal - Tax

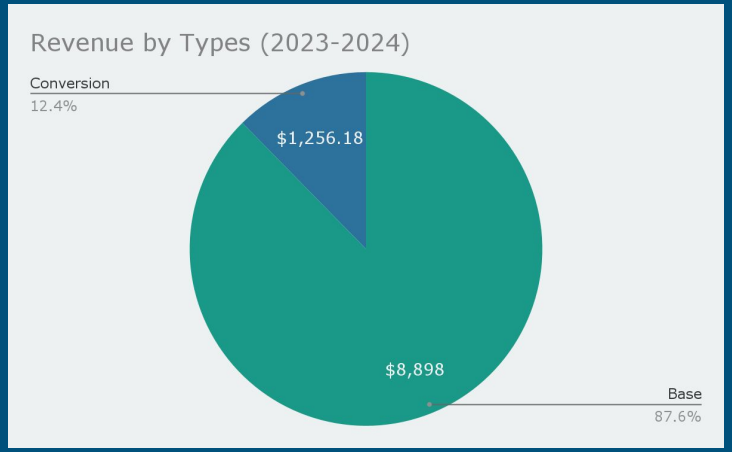
- Base Revenue : revenue gain from current converted students.
- Conversion Revenue : expected revenue from newly converted trial students in the month.

- Base Expenses : tutoring expenses for current converted students.
- Conversion Expenses : tutoring expenses for trial students.
- OPEX : operational costs.
- Internal : expenses for Internal services.

Revenue

$635

Avg Monthly Revenue
Per Converted Student

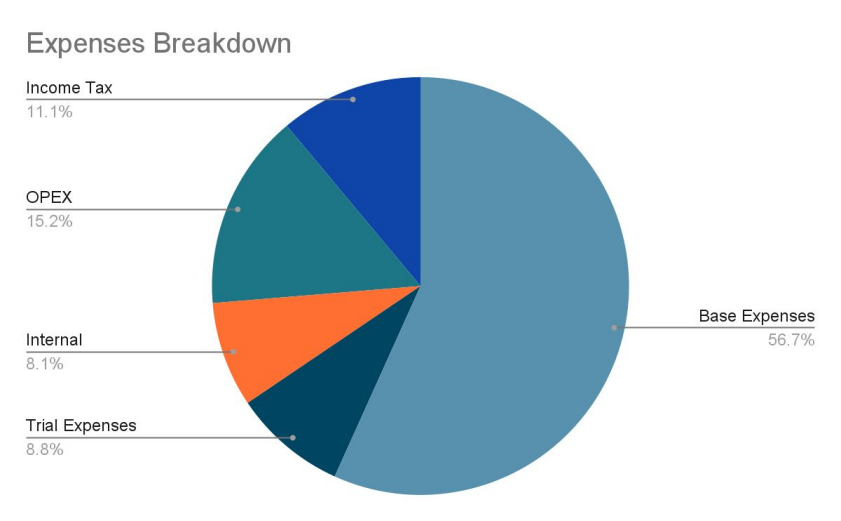


- Conversion Revenues are calculated based on proportions of students in each plan times the service rate charged.
- Not the average of the plans' monthly rate.

- Base Revenue are calculated based on number of students in each plan times the service rate charged.
- Our calculation assumes constant monthly trial students

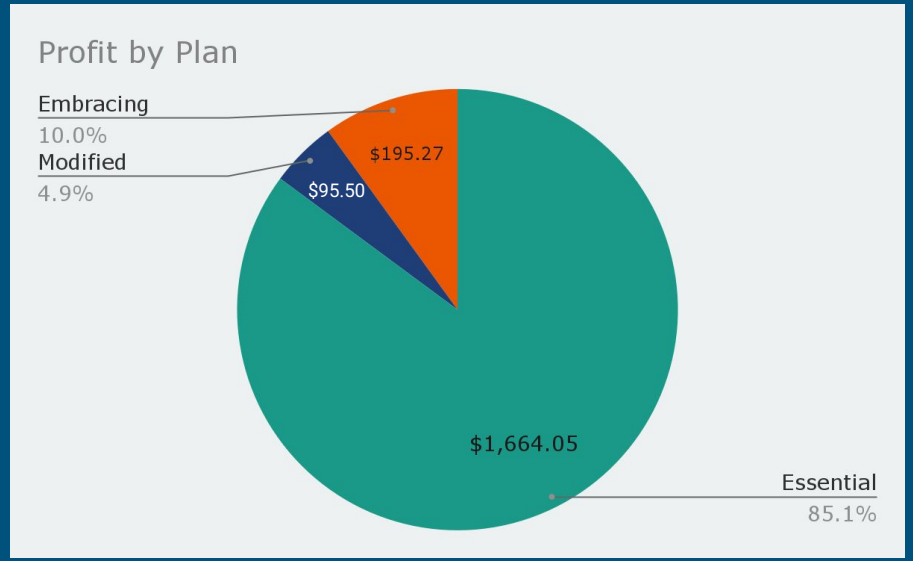
Expenses

- Biggest expenses are Converted Rate and Tax.
- Operational stays constant and is based on the average operational cost of March - May 2024.
- Conversion Expenses includes trial + newly converted students.
- Internal Expenses depends on the number of tutors



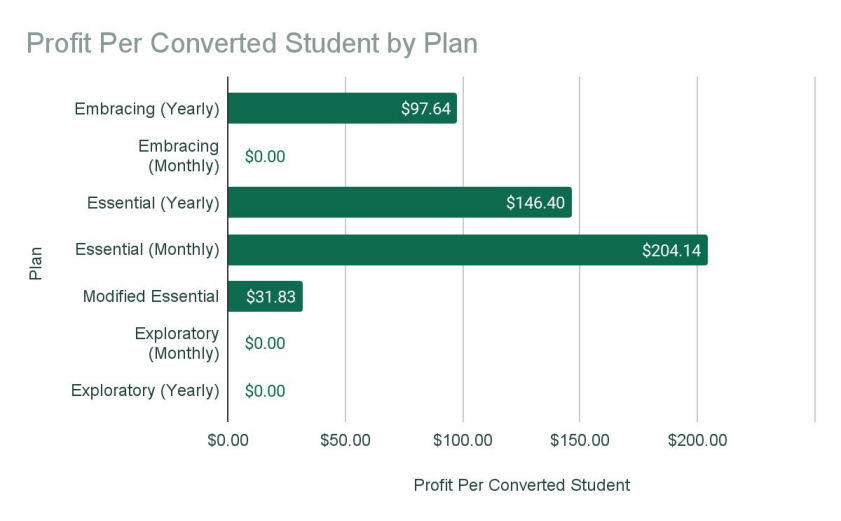
Profit & Plans

- Revenue are based the service rate charged.
- Essential plan is the biggest contributor of profit.
- Expenses include Tutor Pay, Tax, OPEX and Internal.
- OPEX and Internal expenses are divided based on the hrs tutors spend on all students in each plans.



Profit Per Converted Student

- Profit per student still vary widely by plans.
- Monthly plans are more profitable but yearly plans offer more consistent revenue.
- OPEX and Internal expenses are divided based on avg hrs tutors spend on each student in each plans.



Breakpoint and Lower Bound

17.70%

Breakpoint Conversion Rate

- This is the conversion rate needed to offset the expenses for trial students

$143.9

Lower Bound Profit

- Monthly plan student only stay for 1 month so profit only rely on yearly plans and conversion revenue.
- OPEX & Internal brought the number even lower

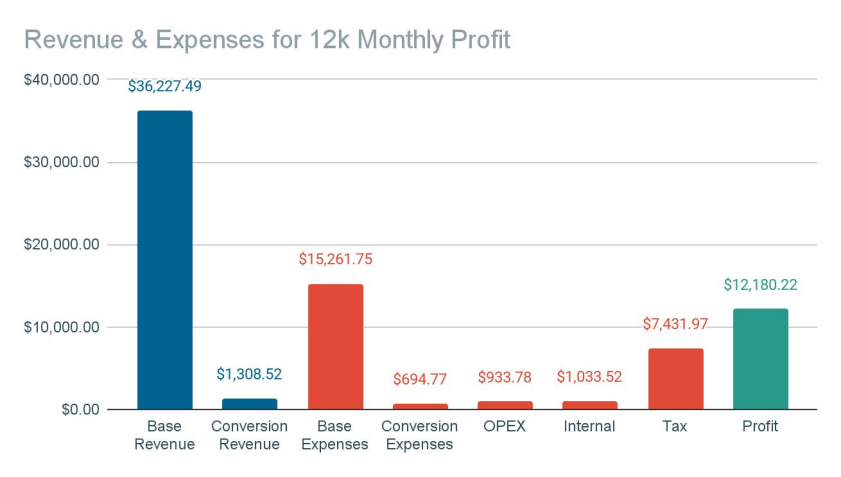
The Projections

Profit Goal: 12k Monthly Profit

46

Converted Students Needed

- Most of the revenue is from converted students
- Conversion Revenue and Expenses appear small due to constant number of trial students
- Internal Rate is now proportional to student number due to 1/6 teacher-student ratio



- 5 trial students
- 56 converted students

- 10 tutors
- 41.17% conversion rate

Scholarship Program

$12960

Needed Monthly Profit

- Allocate 5% for profit for scholarship of yearly essential plan
- 1 month of scholarship = $648 thus
- Thus 5% of monthly Profit = $648

60

Converted Students in a month to provide 1 month of yearly essential plan to a student

- For 1 full academic year of scholarship, we'd need 60 average monthly converted students.

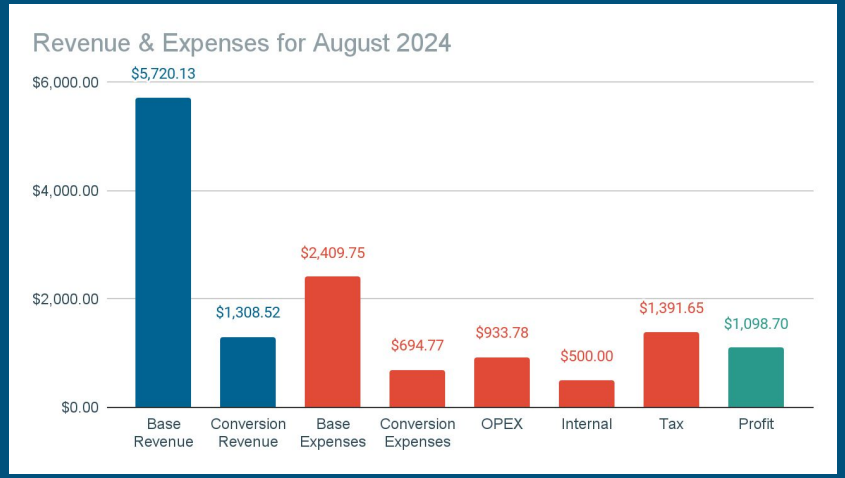
Projection of August 2024

$1098

Monthly Profit

This is calculated based on:

- 70% retention rate = 9 converted students
- 5 trial students
- 41.18% conversion rate
- 5 tutors = same Internal costs
- Same operational costs

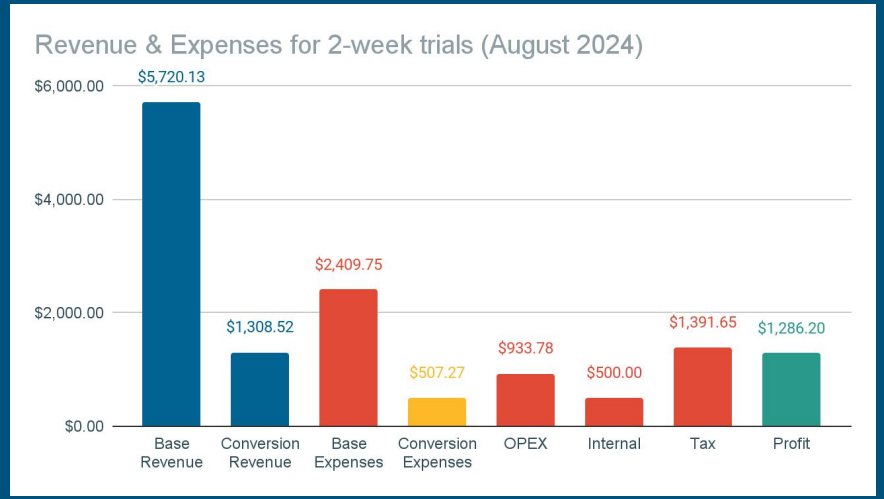


Trial Length

Profit Margin for 3-weeks trial: **15.63%**

Profit Margin for 2-weeks trial: **18.30%**

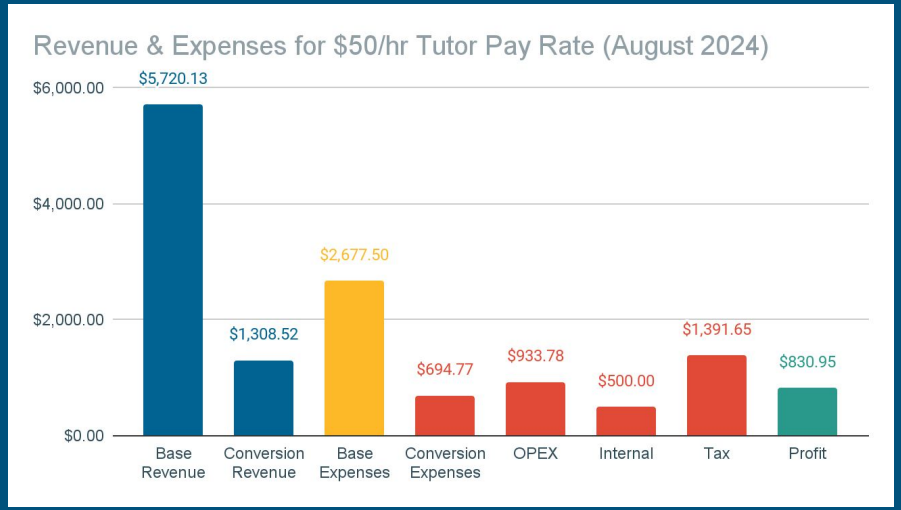
- This is assuming the conversion rate stays constant at 41.18%
- Changing trial length only affects trial rate expenses other variables stays the same.
- Difference smaller if there are:
  - More converted students
  - Less trial students



Tutor Pay Rate

Profit Margin for $45/hr rate: **15.63%**

Profit Margin for %50/hr rate: **11.82%**



- Tutor pay rate effects converted student expenses, our biggest expense contributor.
- Difference smaller if there are:
  - More converted students even if Base Expense is proportional to Base Revenue.

Conclusions

- The business is making profit even in the lower bound.
- Shortening trial length may increase margin but conversion rate should be observed.
- We may see lower monthly profit in the beginning of next school year but through new trial students students and good conversion rate, the business will grow.

Thank You